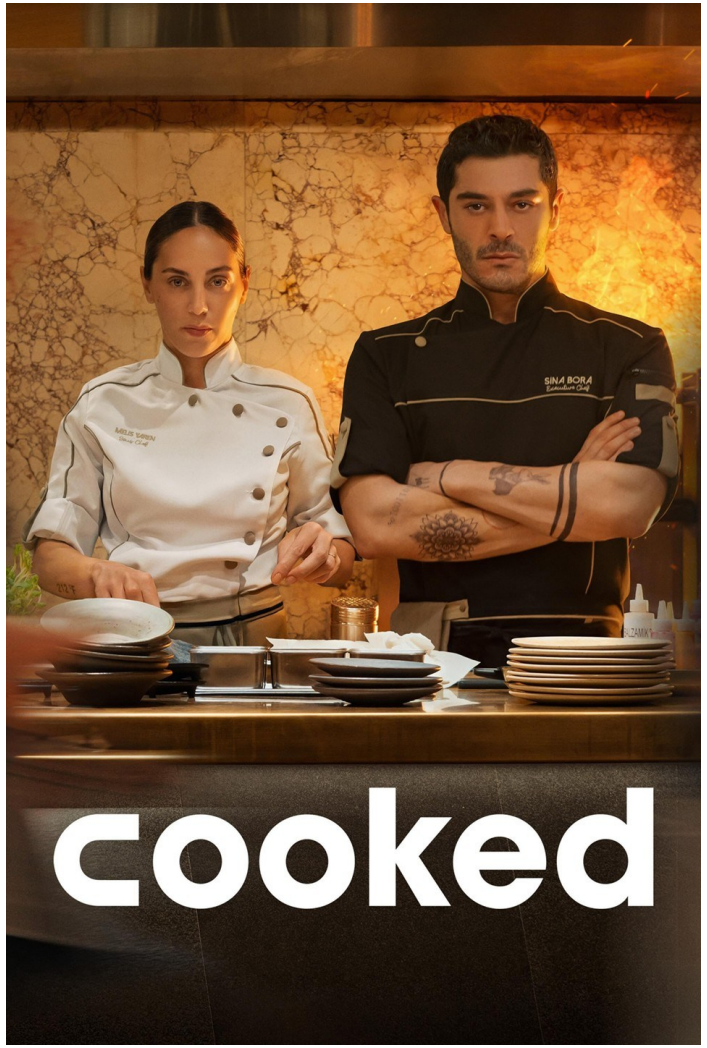
RSM219 – Tutorial 8

12/13 Nov 2026

DjT

How was the midterm?



or



?


son 😭😭😭😭😭

What can we fix?

1. Study strategies

2. Exam strategies

Fixing Study Strategies

By the exam day, …

1. Was I able to answer all the lecture & tutorial workbook questions – without looking at the solutions?
2. Can I get 75% of all the practise midterm questions?
3. Did I attempt all the extra assigned problems from the textbook?
4. Have I clarified everything I was confused about? At least, did I really use Claude to help me study – or was I just larping at Robarts?

There are “better ways” of doing exams

On the exam day, I can …

1. Have my much-needed caffeine with me.
2. Eat my comfort food before coming to the examination room.
3. Be comfortable already with using my calculator.
4. Have some snacks – either to relieve hunger or as an emotional support protein bar.
5. Wear the best clothes I have to gain aura against the exam papers.
6. Use better stationery …. →→→

Use 2B pencils instead of the mass HB



2B is better than HB:

- Darker, better scanned on Crowdmark;
- Softer, you don't strain your hand as bad; &
- Easier to control → better handwriting.

Cons: if you write too hard, 2B leaves some dark trail when erased

Mechanical Pencils



Best: 2B leads, 0.5mm

Mechanical pencils are better than wooden:

- You never have to sharpen it, cutting process time.
- It is more consistently balanced, wooden pencils gets shorter over time and changes center of gravity → mechanical pencils yields better handwriting.
- You only need 1! Will not need to fill your table with pencils.

Good Ones?



Uni Kuru Toga



Rotring 300/500



Staedtler Mars Micro

MUJI
無印良品



Muji’s Polycarbonate,
Muji’s Balanced

Now let’s lock in



Thinking about Inventories

Suppose a firm ABC has sales $X annually, and in that fiscal year the COGS is $24m. → $ amount of inventory sold per year.

The inventory level in our warehouse, on average, is $4m at any time of the year. → $ amount of how much inventory we usually have.

What can we say?

- We go through 6 warehouses of inventory every year.
  - This is **inventory turnover = COGS/avg. inventory** = $24m per year/$4m = 6x /year.
- If we have a warehouse with the average inventory level and **NOT** purchase more items to it, we will run out in 2 months.
  - This is days of inventory = $\frac{1 \text{ year}}{\text{inventory turnover}} = \frac{12 \text{ months}}{6 \text{ x}} = 2$ months.
  - This is equivalent to $\frac{\$4\text{m of average inventory}}{\$24\text{m of inventory / year}} = \frac{1}{6}\text{year} = 2$ months.

FIFO v LIFO v Average

FIRST in FIRST out → sells the oldest inventory that was purchased the earliest

LAST in LAST out → sells the newest inventory that was purchased the latest

Average: the cost of sales (COGS) is the average cost of all inventory at the time of sale

Inflation: FIFO v LIFO

Suppose firm ABC has beginning inventory of 3 items, bough in three different months. They sell 1 unit this month.

Assume purchases happen in the beginning of the same month, and sales happen somewhere near the end of the same month.

Product	COGS
P_Jan	$9
P_Feb	$11
P_March	$13

FIFO → sells P_Jan

Sales = P_Jan = $9

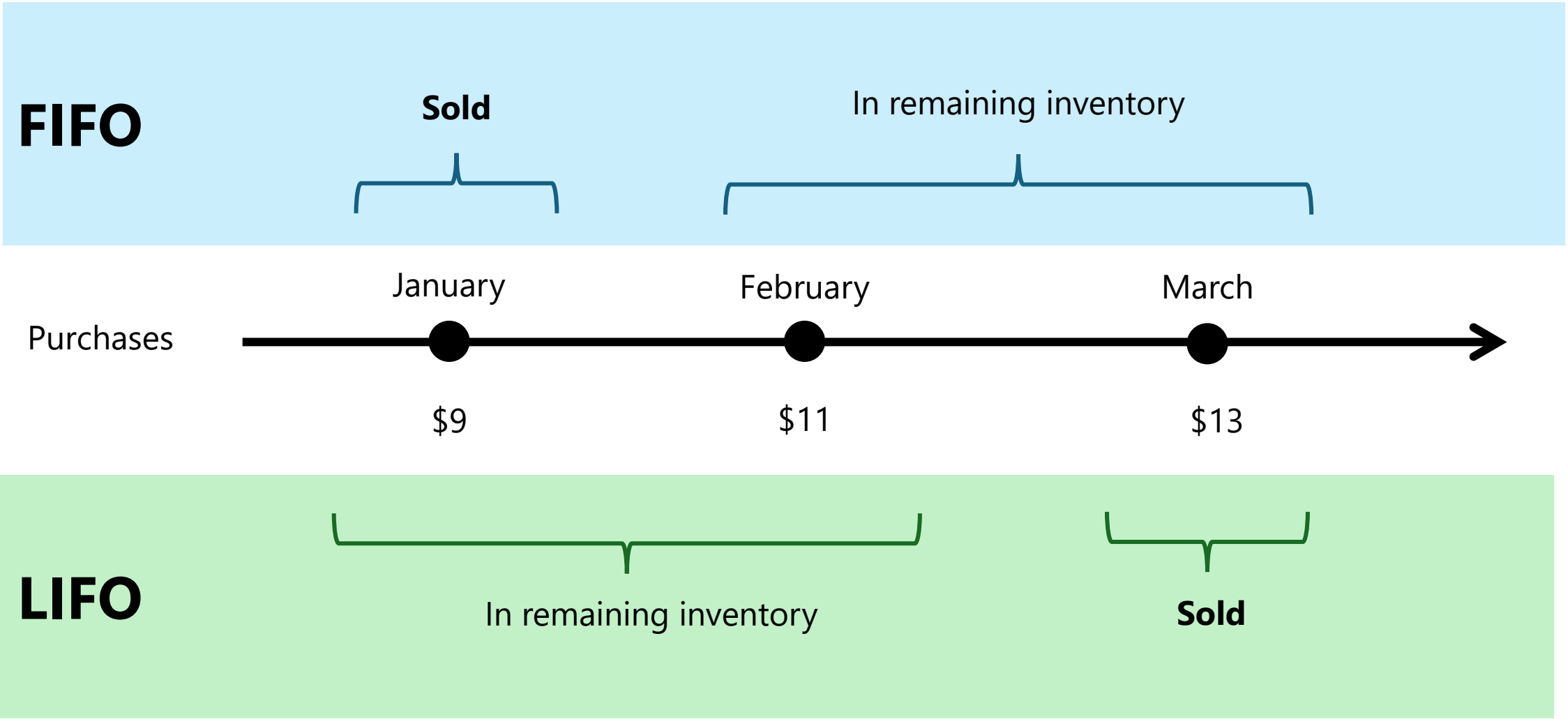
Ending inventory = P_Feb + P_March = $11 + $13 = $24

LIFO → sells P_March

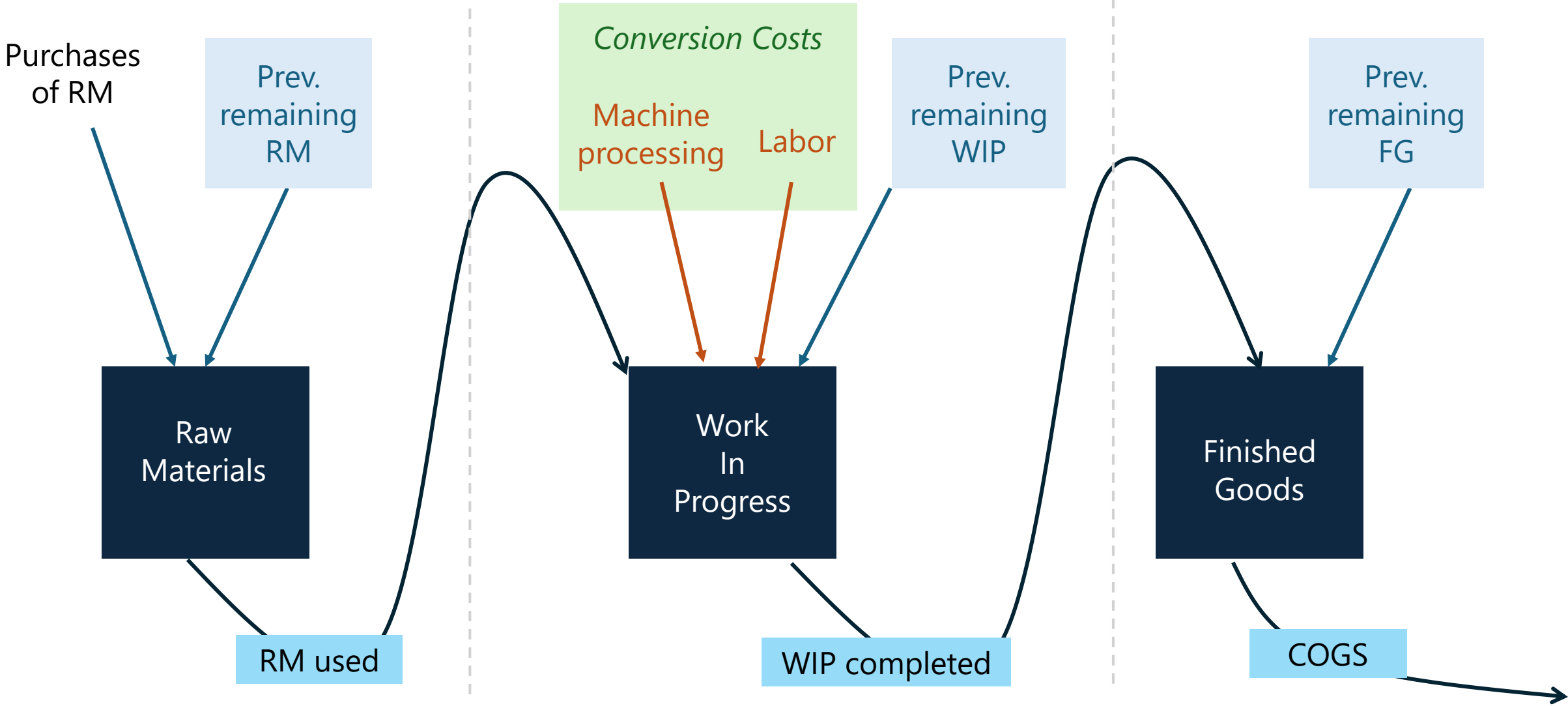
Sales = P_March = $13

Ending inventory = P_Jan + P_Feb = $9 + $11 = $20

Inflation: FIFO v LIFO



Calculating Inventories



Question 4

Two ways of doing this:

a) Backwards
b) Forward, assuming the RM purchase as x that we want to solve

Are they the same?

Question 4

Two ways of doing this:

a) Backwards
b) Forward, assuming the RM purchase as x that we want to solve

